

Prepayment Penalties

A prepayment penalty is a monetary penalty imposed on a borrower for paying off a loan before its intended time. Why would a lender mind getting its money early? Because the lender will receive less money (in interest) than was intended when the borrower and lender agreed to the terms of the loan.

Prepayment penalties are becoming less common, simply due to tighter lending restrictions. Lenders now must disclose up front when they reserve the right to charge a prepayment penalty, and under what conditions these will apply. In addition, lenders are required to disclose that loans without prepayment penalties exist, so the borrower is put on notice that it might be beneficial to shop around! In some areas, lenders may only charge a prepayment penalty if the borrower pays off the loan within one to three years after obtaining the loan. Otherwise, the lender may not charge it, even if the lender reserves the right to do so.